

HEDGEYE DAILY DIGEST

Monday, August 17, 2026 (GMT+8) | Covering Fri Aug 14 & Thu Aug 13 (EDT)

Monday briefing (GMT+8). Hedgeye does not publish on weekends, so "Today" covers the most recent publishing day — **Friday, August 14th (EDT)** — and "Yesterday" covers **Thursday, August 13th**. The tape is broadening and Keith McCullough is leaning into the **Quad Shift out of #Quad4**. With a monthly **Quad count of 3-1-2**, the book is rotating toward smaller caps and Growth: **QTUM** and **IGV** added, rate-sensitive **XLRE** and **IAK** sold. The **Russell 2000** printed an **all-time high** and software ripped (**IGV +3.7%**) — follow the Signals, not the narrative.

Today's Publications — Friday, August 14th

EARLY LOOK

Early Look · 08/14/26 08:10 AM EDT · Keith McCullough

McCullough frames the week around a textbook **Quad Shift**: coming out of July's brutal **#Quad4** liquidation — the worst month for fundamental Long/Short in **4 years** — the portfolio is rotating toward Growth and smaller market caps. With a monthly **Quad count of 3-1-2**, the book tilts to **Quad 1 and Quad 2 blends**.

Concrete moves: **bought Quantum Computing (QTUM) and Software (IGV)** on the pullback, and **sold ALL REIT exposure (XLRE)** into strength (**XLRE +1.4%** on the day) plus the **remainder of Insurance (IAK)**. He went to **zero shorts in Real-Time Alerts** on Monday, and covering **South Korea (EWY)** and **Semis (DRAM)** shorts paid off as **IGV rose +3.7%**. The catalyst: a **US CPI report read as "dovish"** broke the **UST 2yr yield Signal** on TRADE.

Investment implication: As Signals and Quads change, change the positioning — rotate from rate-sensitivity into Growth/small-caps while the Quad backdrop supports risk-on.

Risk Range™ Signals

Asset	Risk Range	TREND
10Y UST Yield (UST10Y)	4.60-4.74	Bullish
High Yield (HYG)	79.43-79.98	Bullish
Inv. Grade Corp (LQD)	105.7-106.9	Bearish
S&P 500 (SPX)	7606-7861	Bullish
NASDAQ (COMPQ)	25908-26992	Bullish
Russell 2000 (RUT)	2987-3075	Bullish
Health Care (XLV)	164-172	Bullish
S&P Equal Weight (RSP)	219.00-225.00	Bullish
Tech-Software (IGV)	99.00-110.00	Bullish
Volatility (VIX)	14.05-16.43	Bearish
US Dollar (USD)	99.25-100.13	Bearish
Crude Oil (WTIC)	74.36-85.99	Neutral
Nat Gas (NATGAS)	2.55-2.85	Bearish
Gold (GOLD)	4201-4524	Bullish
Copper (COPPER)	6.46-6.76	Bullish
Silver (SILVER)	58-68	Neutral

CAPITAL ALLOCATION PRO

Capital Allocation Pro · 08/14/26 11:24 AM EDT · McGroarty / Nanai / Salem

Model Portfolio changes went into effect on **Friday, August 14th** closing prices, mirroring the Early Look's Quad Shift — **adding Growth/Tech (QTUM, IGV)** and **trimming rate-sensitivity (XLRE, IAK)**. Trend and Tail levels across the team's **68 ETFs** were last refreshed on July 31st closing prices per the standard 3–4 week cycle.

MOMO TRACKER

Momentum Stock Tracker · 08/14/26 08:21 AM EDT · Drake / Ricci

The Mag7 basket rose **+0.9%** with **Netflix (NFLX +5.4%)** leading as a **BULLISH** signal. **Tesla (TSLA +3.8%)** bounced but remained **BEARISH** on Hedgeye's TREND signal.

SIGNAL STRENGTH STOCKS

Signal Strength Stocks · 08/14/26 11:12 AM EDT

The weekly screen held **75 names**, with **LFST and PRMB added** and **3 removed** — a modestly narrower list into the weekend.

THE MACRO SHOW

The Macro Show · 08/14/26 10:21 AM EDT · McCullough & Emma Vlasic

Daily Macro Show summary and replay covering the Quad Shift, the broadening equity tape, and the rate/curve setup.

Yesterday's Publications — Thursday, August 13th

EARLY LOOK — "Play the Hand You're Dealt"

Early Look · 08/13/26 07:17 AM EDT · Brooks Cutright (PM, ADDS)

What: A guest Early Look on **compulsory flows** — capital that *has* to move (index rebalances, CTA reweights, leveraged-ETF resets, forced conversions, margin calls) versus capital that *wants* to move.

Why: Cutright runs a level beneath Hedgeye's hierarchy: **Quads** (forecast), **Trend** (conditions), and **compulsory flows** (forced execution). He cites roughly **\$11 trillion indexed to the S&P 500**, and that **~3% of every S&P 500 dollar** sits in **~125 companies** too small to qualify under current criteria — a membership lag that is "the trade."

Who / Key numbers: July's momentum unwind is the case study — Goldman's High Beta Momentum basket was up **>60% YTD** in June before rolling over; the **Situational Awareness** AI fund reportedly sold most of its public book to **Citadel**. The model has **September in Quad 1** and **October in Quad 2**, with **~ten companies** clearing every published S&P 500 admission screen ahead of the **September 4** committee announcement.

Takeaway: The mechanical, deadline-driven half of index events is where the cleaner edge lives. Play the hand you're dealt.

FROM THE DESK — KM's Top 3 Things

From The Desk · 08/13/26 07:05 AM EDT · Keith McCullough

What: Three key calls (Rates / KOSPI / Volatility) with the **Russell 2000 printing an all-time high**.

Rates — The **Inflation Nowcast** signaled July slowing, the **UST 2yr** broke TRADE resistance (now **4.24%**), and the **10s-minus-2s curve steepened +50bps** to a new post-#Quad4 cycle high. Long **IVOL** (steepener), long **CLOZ, VCSH**.

KOSPI — He **covered the EWY short**; the KOSPI rose **+3.6%** overnight to **6813** (~**25%** off its #MOAB peak), just inside TRADE Signal **6851** and well inside TREND **7204**.

Volatility — A broadening US equity bull in a Quad Shift: **VIX** signaling lower-lows, the **MOVE Index broke TREND** on the CPI print. Long **13 different US Equity ETFs**.

MOMO TRACKER

Momentum Stock Tracker · 08/13/26 08:29 AM EDT · Drake / Ricci

The Mag7 dipped **-0.4%**, but **MSFT, AMZN and NVDA** held **BULLISH** signals. **Oracle (ORCL)** ripped **+5.4%** into an "outbucket" (above its Risk Range).

SIGNAL STRENGTH STOCKS

Signal Strength Stocks · 08/13/26 03:29 PM EDT

The screen held **76 names**, with **TT, TTWO and RDNT added** and **3 removed**.